

# Harbourline Bank Target Operating Model

Harbourline Bank is a fictional regional retail bank, and this document was written as evaluation material.

## Purpose

This handbook sets out the target operating model that Harbourline Bank will run from the start of the next financial year. It is written for heads of function, process owners, change leads and the teams who build and test our systems. It explains what each part of the bank does, which process owns each decision, and which records prove that the work was done. Policies remain the authority on risk appetite and conduct, and this handbook explains how those policies are carried out day to day.

The handbook is owned by the Chief Operating Officer and reviewed every six months. Any change that moves a decision from one process to another needs the approval of the executive committee. Smaller changes, such as a new field on a screen or a revised service level, are approved by the process owner and recorded in the change log.

## Context

Harbourline Bank serves around 640,000 personal customers and 38,000 small businesses across the coastal counties of its home region. The bank grew out of a mutual building society, and its culture still values plain dealing, local branches and long relationships with customers. Over the last five years the share of new accounts opened on the mobile app has risen from a quarter to nearly three quarters.

At the same time the regulator has raised its expectations on financial crime controls, operational resilience and the fair treatment of customers in financial difficulty. The bank also faces new competitors who approve a loan in minutes and move money in seconds. Customers now compare us with those competitors rather than with other regional banks.

The model we run today grew by adding teams and systems one product at a time. That left us with duplicated checks, handoffs by email, and weak ownership of customer data. The target operating model answers these problems by organising the bank around end-to-end processes, each with a named owner, clear inputs and outputs, and measures that the executive committee reviews every month.

## Design Principles

The design follows a small set of principles that every process owner is expected to apply.

- Decide once: each decision is made by the process that owns it and reused by every other process that needs it.
- Capture once: customer data is captured at onboarding and kept current through the life of the relationship.
- Control in the flow: controls are built into the work itself rather than added as checks at the end.
- Evidence by default: every process leaves records that an auditor can follow without asking the team to explain them.
- Plain language: customer letters and screens are written so that a customer can act on them without calling us.

## The Operating Model

The operating model of Harbourline Bank consists of customer onboarding, lending, payments and risk. Customer onboarding brings new customers into the bank and opens their first products. Lending

provides credit to households from the first enquiry to the final repayment. Payments moves money for customers and for the bank itself, in the region and abroad. Risk sets limits, watches exposure and investigates financial crime across the rest of the bank.

Each of these parts has an accountable executive, a process owner for every process, and a monthly performance review. Where one part depends on the output of another, the dependency is written down in this handbook so that nobody has to rediscover it during an incident.

## **Customer Onboarding**

Customer onboarding consists of identity verification, KYC review, due diligence and account opening. The Head of Customer Onboarding owns the whole journey and reports to the Chief Operating Officer. Most applications arrive through the mobile app, but branch colleagues use the same journey and the same screens, so a customer receives the same treatment wherever they start.

### ***Identity Verification***

Identity verification includes document capture, where the applicant photographs an identity document with the app or at a branch counter. Document capture accepts a passport or a driving licence. The app reads the machine-readable zone, checks the security features and compares the photograph with a short selfie video. Where the image is poor, the app asks the customer to try again before any colleague is involved. About one application in twenty needs a colleague to look at the document by hand.

### ***KYC Review***

KYC review consists of customer risk rating and PEP screening. Customer risk rating produces a KYC risk score between one and ten. The score takes account of occupation, expected account activity, country of residence and the products the customer has asked for. PEP screening produces a PEP flag when the applicant, or a close family member or associate, holds a prominent public role. A PEP flag does not stop an application on its own, but it always sends the case to a senior reviewer.

### ***Due Diligence***

Due diligence has three tiers: simplified due diligence and enhanced due diligence. Simplified due diligence applies to low-risk customers who open a basic account and pass every automated check. Enhanced due diligence includes a source of wealth review for customers with a high KYC risk score or a PEP flag. Enhanced due diligence produces an EDD memo that records the evidence seen and the reason for accepting the customer. The EDD memo is signed by a senior manager in the financial crime team.

### ***Account Opening***

Account opening consists of product selection and account set-up. Product selection offers the current account and the savings account. A packaged current account is a kind of current account. A customer who chooses a packaged account pays a monthly fee in return for travel insurance, breakdown cover and a small overdraft buffer. Account set-up produces the account agreement, which the customer signs electronically. Account set-up waits for the EDD memo whenever enhanced due diligence applies. Once the account is open, the card is dispatched and the customer can use the app straight away.

## **Lending**

Lending has two product lines: mortgage and personal loan. A fixed-rate mortgage is a kind of mortgage. A tracker mortgage is a type of mortgage. Lending consists of loan origination, underwriting, loan servicing and arrears management. The Head of Lending owns the lending book and is accountable for both growth and credit quality.

## ***Loan Origination***

Loan origination consists of application capture and property valuation. Application capture produces the loan application, which holds the amount, the term, the purpose and the applicant's income and spending. Brokers submit about half of our mortgage applications through a portal, and the portal writes to the same record as the app. Property valuation produces a valuation report from one of our panel surveyors. Personal loan applications skip the valuation and go straight to underwriting.

## ***Underwriting***

Underwriting consists of credit scoring, affordability assessment and credit decisioning. Credit scoring produces a credit score from bureau data and the customer's history with the bank. Credit scoring uses the KYC risk score, so that a customer is never scored as low risk for credit while being rated high risk for financial crime. Affordability assessment produces an affordability result that tests the repayment against income, committed spending and a stressed interest rate. Credit decisioning produces the credit decision and the offer letter. Most personal loan applications are decided automatically, while every mortgage is reviewed by an underwriter before the offer is issued.

## ***Loan Servicing***

Loan servicing consists of repayment collection and rate change processing. Repayment collection uses a direct debit mandate that the customer sets up when the loan completes. Rate change processing issues a rate change notice at least thirty days before a new rate takes effect. Servicing colleagues also handle overpayments, payment holidays agreed in advance and requests for a statement of the balance.

## ***Arrears Management***

Arrears management consists of early arrears and collections. Early arrears includes a forbearance assessment for every customer who misses a payment or tells us that they expect to. Forbearance assessment produces a forbearance plan that fits the customer's real circumstances, such as reduced payments for a period or a longer term. The early warning indicator informs forbearance assessment, so that we can contact a customer before the first payment is missed. Collections consists of debt recovery and write-off. Debt recovery issues a default notice when a forbearance plan has failed and the customer has stopped engaging. Colleagues in arrears teams are trained to spot vulnerability and to pause recovery action whenever a customer needs extra support.

## ***Payments***

Payments has three payment rails: card payments, bank transfers and instant payments. Payments consists of payment initiation, payment screening, clearing and settlement. The Head of Payments owns the payment journeys and the relationship with the payment schemes. Payment volumes have grown by about a fifth each year, driven mainly by instant payments from the mobile app.

### ***Payment Initiation***

Payment initiation consists of payment order capture, where the customer or a colleague enters the payee, the amount and the reference. Payment order capture produces a payment order that carries every detail the later steps need. The app confirms the payee name with the receiving bank before the customer approves the payment. A payment that the customer does not approve within fifteen minutes is cancelled.

### ***Payment Screening***

Payment screening consists of sanctions screening and payment fraud scoring. Sanctions screening produces a sanctions alert when a party or a bank in the payment matches a sanctions list. Sanctions screening shares its engine with PEP screening, so both use the same lists and the same matching

rules. A sanctions alert leads to a release decision or a payment rejection. Payment fraud scoring produces a fraud score for every outgoing payment. The fraud score feeds fraud detection in the risk team, where analysts see the full picture of the customer's activity.

### ***Clearing***

Clearing consists of message formatting and scheme submission. Message formatting produces an ISO 20022 message with structured names, addresses and remittance data. Scheme submission sends each message to the relevant scheme within its cut-off time. Card transactions follow the card scheme rules, and the card processor sends us the cleared totals each night.

### ***Settlement***

Settlement consists of net settlement and nostro reconciliation. Net settlement produces the settlement position that the treasury team funds at the central bank. Nostro reconciliation identifies each reconciliation break between our records and the statements from our correspondent banks. A reconciliation break triggers a break investigation that must be closed within two working days. Breaks older than five days are reported to the Head of Payments and to the Chief Financial Officer.

## **Risk**

Risk consists of credit risk, fraud management, AML transaction monitoring and operational risk. The Chief Risk Officer owns the risk framework and reports independently to the board risk committee. Risk teams set the rules that other parts of the bank apply, and they check that those rules work in practice.

### ***Credit Risk***

Credit risk consists of portfolio monitoring and provisioning. Portfolio monitoring produces an early warning indicator for each loan whose risk is rising. Portfolio monitoring uses the credit score, refreshed monthly with new bureau data. Provisioning includes the expected credit loss calculation, which runs at every month end. The expected credit loss calculation produces the impairment provision that the finance team books in the ledger.

### ***Fraud Management***

Fraud management consists of fraud detection and fraud investigation. Fraud detection raises a fraud alert when the behaviour on an account departs from its normal pattern. Fraud detection monitors every instant payment in real time, because an instant payment cannot be recalled once it has settled. Fraud investigation opens a fraud case for each confirmed or suspected fraud. Investigators contact the customer, stop further losses and decide whether the customer is reimbursed.

### ***AML Transaction Monitoring***

AML transaction monitoring has four scenarios: structuring, rapid movement of funds and high-risk jurisdiction transfers. AML transaction monitoring consists of alert generation and alert investigation. Alert generation produces an AML alert when an account matches a scenario over a rolling period. Alert generation reads every payment order, including those that were rejected at screening. Alert investigation opens an AML case when an analyst cannot explain the activity from what we know about the customer. An AML case can produce a suspicious activity report, which the Money Laundering Reporting Officer files with the national authority.

### ***Operational Risk***

Operational risk consists of risk and control self-assessment and loss event management. Risk and control self-assessment includes a control test for every key control in the bank. The control test covers nostro reconciliation every quarter, because settlement errors can grow quickly. Loss event management records each fraud case that leads to a loss for the bank.

## Customer Outcomes

The operating model is judged in the end by what it does for customers. A customer who opens an account should be able to do so in one sitting, without printing, posting or visiting a branch unless they prefer to. A customer who borrows from us should understand what they have agreed to, how much it will cost over its whole life, and what happens if their circumstances change. A customer who sends money should know when it will arrive and should be warned, in plain words, when a payment looks like a scam.

Customers in financial difficulty deserve particular care. We expect colleagues to listen first, to offer help that fits the customer's situation, and to record what was agreed so that the customer never has to repeat their story. Customers with a vulnerability, whether it is lasting or temporary, are recorded with their consent so that every colleague who serves them can adjust the way they help.

Complaints are treated as evidence about the operating model rather than as a cost to be minimised. Every upheld complaint is traced back to the process where the problem started, and the process owner reports on the fix at the next operating forum.

## Data Ownership

Good decisions depend on good data, and the model gives every important data item an owner. The onboarding team owns the customer's identity and contact details. The lending team owns loan balances, terms and repayment history. The payments team owns payment records and the reference data that describes each scheme. The risk team owns the rules, thresholds and lists that drive screening and monitoring.

Owners are responsible for the quality of their data, for approving who may change it, and for explaining it to any process that relies on it. Data quality is measured every week, and any defect that affects a customer decision is fixed at the source rather than corrected downstream.

## Roles

The target operating model gives every process a single accountable owner. The roles below carry the main responsibilities.

- The Chief Operating Officer owns this handbook and the change portfolio that delivers it.
- The Head of Customer Onboarding owns the onboarding journey, its service levels and its customer complaints.
- The Head of Lending owns the lending book, the broker relationships and the credit policy for new lending.
- The Head of Payments owns the payment journeys, the scheme memberships and the payment resilience plan.
- The Chief Risk Officer owns the risk framework, the risk appetite statement and the independent challenge of the first line.
- The Money Laundering Reporting Officer owns the reporting of suspicions to the national authority.

Process owners meet every fortnight in an operating forum chaired by the Chief Operating Officer. The forum reviews the measures below, agrees fixes for handoffs that are not working, and raises any risk that needs the executive committee.

## Measures

Each process is measured on speed, quality and customer outcome. The executive committee reviews the following measures every month.

- Onboarding completion rate, the share of started applications that end with an open account, with a target of 80 percent.
- Time to decision for personal loans, with a target of ten minutes for automated decisions.
- Mortgage offer time, measured from full application to offer, with a target of ten working days.
- Early arrears cure rate, the share of customers who return to normal payments within six months.
- Instant payment availability, with a target of 99.95 percent across every month.
- False positive rate for sanctions alerts, which we aim to reduce each year without missing a true match.
- Fraud losses as a share of payment value, reported against the appetite set by the board.
- Open AML alerts older than thirty days, which should be zero at every month end.

A measure that misses its target for two months in a row triggers a review by the process owner, who presents the causes and a recovery plan to the operating forum.

## Systems

The operating model runs on a small number of shared platforms. Each platform has a business owner who decides its priorities and a technical owner who keeps it running.

| Platform              | Main users       | Purpose                                                  |
|-----------------------|------------------|----------------------------------------------------------|
| Tidemark Core         | All teams        | Holds accounts, balances and customer records.           |
| Harbour Onboard       | Onboarding teams | Runs the customer journey on the app and in branch.      |
| LendFlow              | Lending teams    | Runs applications, underwriting and servicing.           |
| Quayside Payments Hub | Payments teams   | Routes, screens and clears payments.                     |
| Beacon Case Manager   | Risk teams       | Manages alerts and cases for fraud and money laundering. |

Tidemark Core is the single source of customer and account data, and no other platform keeps its own copy of the customer address. Beacon Case Manager is the only place where alerts and cases are worked, so that an investigator sees fraud and money laundering history for the same customer on one screen. Data flows between the platforms are listed in the integration catalogue and owned by the enterprise architecture team.

## Implementation

The bank will move to the target operating model in three waves over eighteen months. The first wave brings the onboarding journey and the shared case manager live, because they remove the most manual work. The second wave moves lending onto the new origination platform and retires the old broker portal. The third wave completes the move to structured payment messages and closes the remaining email handoffs in settlement.

Each wave ends with a readiness review in which the process owners confirm that their teams are trained, their controls are tested and their measures are reported. No wave starts until the previous wave has run without a serious incident for at least one full month. Progress is reported to the board every quarter, together with the benefits achieved and the risks that remain open.